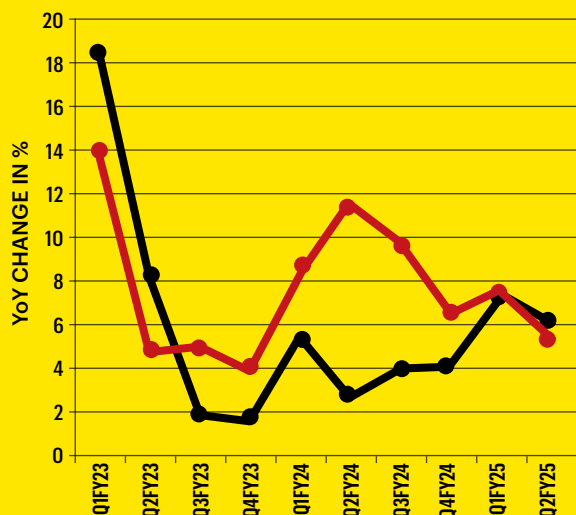


INVESTMENTS AND CONSUMPTION SKEW

• Private consumption seen to grow 7.3% in FY25, but urban demand under stress

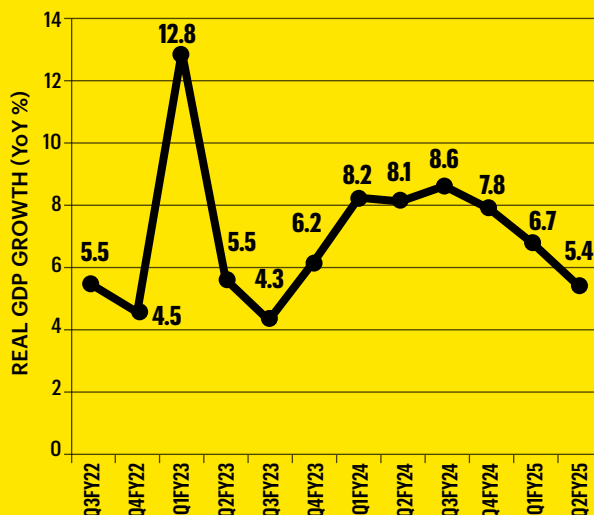


■ PFCE ■ GFCF

SOURCE MoSPI, EY ECONOMY WATCH

GROWTH PANGS

• FY25 GDP growth estimate at 6.4% as per the First Advance Estimates • Most agencies expect minor improvement in FY26 but see moderation



SOURCE MoSPI, EY ECONOMY WATCH

taper with both food inflation easing and a good rabi crop,” he elaborates. This easing of retail or CPI inflation, which the bank has pegged at an average 4.5% for FY26 with core inflation at 4%, will also help turn around consumer sentiment and help boost consumption demand, he says.

Measures to boost consumption have been a key recommendation by several industry chambers in their pre-Budget consultations with the government. Chandrajit Banerjee, Director General of Confederation of Indian Industry (CII), notes that considering the strong fundamentals of the Indian economy and continuing global uncertainty, the industry chamber submitted its key suggestions for Union Budget 2025-26 focussed

on continued emphasis on public investment, measures to improve consumption, suggestions to increase employment, continuation of next-gen reforms and improving overall productivity.

In a pre-Budget meeting with the Finance Minister, CII has suggested several measures to boost consumption, including reduction of the excise duty on fuel to reduce overall inflation and boost disposable incomes; lowering marginal tax rates for personal income up to ₹20 lakh per annum to trigger the virtuous cycle of consumption, higher growth and higher tax revenue; and increasing the minimum wage rate under MGNREGS from ₹267 per day in FY24 to ₹375 as suggested by the Expert Committee on Fixing National Minimum Wage.

FOCUS ON CAPEX

The government is also expected to keep the pedal on capital expenditure in the Budget, since it has become the dominant driver of economic growth in recent years. The allocated capex of ₹11.1 lakh crore for FY25 may not be spent fully this fiscal due to the General Elections and the late presentation and passage of the Union Budget 2024-25 in July and August 2024 but it is unlikely to deter the Centre much in FY26, especially as private investments are still stumbling in their recovery. According to the First Advance Estimates, gross fixed capital formation—a bellwether for investments in the economy—is estimated to expand by 6.4% this fiscal from 9% in the last fiscal.

Sources indicate that the outlay